



THERE IS NO CORNER WHERE ONE DOES NOT TALK OF SHARES

THE OPENING OF THE AMSTERDAM STOCK EXCHANGE (1602)

IN CONTEXT

FOCUS

The Dutch Golden Age

BEFORE

1585 The founding of the Dutch Republic; Protestants in the south move northward.

1595 Cornelis de Houtman leads an expedition to Asia, starting the Dutch spice trade.

AFTER

1609 The Bank of Amsterdam is founded.

1610–1630 Land is reclaimed; the Dutch Republic increases in area by one-third and agricultural output increases.

1637 A single tulip bulb sells for up to 10 times the annual income of a skilled craftsman.

1650 Half the Republic's population lives in urban areas; the Netherlands is the most urbanized region in Europe.

The Amsterdam Stock Exchange—the world's first permanent market for stocks and shares—opened in 1602 under the auspices of the Dutch East India Company (known in the Netherlands as VOC). The company was a vast enterprise—in effect, the first international corporation—and it was created to facilitate trading expeditions to Asia.

Unusually, the Dutch government had granted the company the power not only to trade, but also to build fortifications, establish settlements, raise armies, and enter into treaties with foreign rulers. Since the organization had a huge network of ships, ports, and personnel, it required considerable funding and many investors. The Amsterdam Stock Exchange was originally set up to enable investors to trade their shares in the Dutch East India Company, but it then developed to become a vibrant market in financial assets and one of the drivers of a growing capitalist economy in the Dutch Republic.

An expanding economy

In the 17th century, the Netherlands was growing economically despite being involved in a long war with Spain. The northern part of the region (the Dutch Republic, which was Protestant) had split from the southern half (Flanders, which was Catholic) in the late 16th century. The Republic consisted of seven separate northern provinces, each with a great deal of independence but under the umbrella of a federal government called the States-General. Protestant merchants who had lived in Catholic cities, such as Antwerp, moved north to escape persecution, taking with them their capital and trading links. Also, many Flemish artisans who were skilled in textile production (primarily weaving wool, silk, and linen) emigrated to the northern cities of Haarlem, Leiden, and Amsterdam, boosting the Dutch Republic's economy further.